6-5b Overcoming Market Failure through FDI

How do MNEs combat market failure through internalization? Let us use a simple example: An oil importer, BP in Britain, and an oil exporter, Nigerian National Petroleum Corporation (NNPC) in Nigeria. For the sake of our discussion, assume that BP does all its business in Britain and NNPC does all its business in Nigeria—in other words, none of them is an MNE for the time being. BP and NNPC negotiate a contract that specifies that NNPC will export from Nigeria a certain amount of crude oil to BP's oil refinery facilities in Britain for a certain amount of money. Shown in Figure 6.6, this is both an export contract (from NNPC's perspective) and an import contract (from BP's standpoint) between two firms.

Figure 6.6

An International Market Transaction between Two Companies in Two Countries

However, this international market transaction between an importer and an exporter may suffer from high transaction costs. What is especially costly is the potential opportunism on both sides. For example, NNPC may demand a higher-than-agreed-upon price, citing a variety of reasons, such as inflation, natural disasters, or simply rising oil price, after the deal is signed. BP thus has to either

(1) pay more than the agreed-upon price or

(2) refuse to pay and suffer from the huge costs of keeping expensive refinery facilities idle.

In other words, NNPC's opportunistic behavior can cause a lot of BP's losses.

Opportunistic behavior can go both ways in a market transaction. In this particular example, BP can also be opportunistic. For instance, BP may refuse to accept a shipment after its arrival from Nigeria, citing unsatisfactory quality, but the real reason could be BP's inability to sell refined oil downstream because gasoline demand is going down (in a recession, the jobless do not need to commute to work). NNPC is thus forced to find a new buyer for a huge tanker load of crude oil on a last-minute, "fire sale" basis with a deep discount, losing a lot of money.

Overall, in a market (export/import) transaction, once one side behaves opportunistically, the other side will not be happy and will threaten or initiate lawsuits. Because the legal and regulatory frameworks governing such international transactions are generally not as effective as those governing domestic transactions, the injured party will generally be frustrated, whereas the opportunistic party can often get away. All these are examples of transaction costs that increase international market inefficiencies and imperfections, ultimately resulting in market failure.

In response, FDI combats such market failure through internalization. The MNE reduces cross-border transaction costs and increases efficiencies by replacing an external market relationship with a single organization spanning both countries—in a process called internalization (transforming the external market with in-house links).   In theory, there can be two possibilities:

(1) BP undertakes *upstream* vertical FDI by owning oil production assets in Nigeria, or

(2) NNPC undertakes *downstream* vertical FDI by owning oil refinery assets in Britain (Figure 6.7).

FDI essentially transforms the international trade between two independent firms in two countries to

intrafirm trade (International transactions between two subsidiaries in two countries controlled by the same MNE.)

between two subsidiaries in two countries controlled by the same MNE.   The MNE is thus able to coordinate cross-border activities better. Such advantage is called internalization advantage.

Figure 6.7

Combating Market Failure through FDI: One Company (MNE) in Two Countries[1]

[1].In theory, there can be two possibilities: (1) BP undertakes *upstream* vertical FDI by owning oil production assets in Nigeria, or (2) NNPC undertakes *downstream* vertical FDI by owning oil refinery assets in Great Britain. In reality, the first scenario is more likely.

Overall, the motivations for FDI are complex. Based on resource-based and institution-based views, we can see FDI as a reflection of both

(1) firms' motivation to extend firm-specific capabilities abroad and

(2) their responses to overcome market imperfections and failures.